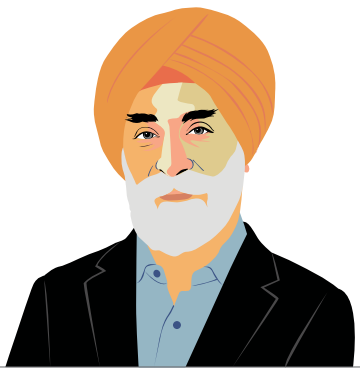


Innovation is the Essence of Digital Bharat

With careful governance, India has the potential to be a digital powerhouse for all Indians, as well as a beacon of innovation for the world



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INDIA IS AT an inflection point for the next phase of its digital revolution, building on the India Stack to create Digital Bharat—a vision of transformative and inclusive growth. The India Stack created the foundation for digital transformation by providing digital identity, payments, and banking for all Indians. The next phase will leverage this foundation to create combinatorial innovation—where these foundational elements will be used like LEGO blocks to solve India’s biggest problems at a massive scale.

In a recent conversation with Nandan Nilekani, he described how AI is becoming the next great frontier for India. According to Nandan, India can become the global use-case capital for AI, not only in automating tasks but also in amplifying human potential. Unlike the expensive, compute-heavy models built in the West, India is taking a more frugal approach, optimising for scale and affordability. Companies like Sarvam AI and Immverse are building Indic large language models (LLMs) that eliminate the tokenisation tax imposed by Western AI models. By training models from the ground up using Indian language data, they are creating more accessible, culturally relevant AI that can serve millions in their native tongues.

To understand the power of combinatorial innovation, consider

Namma Yatri, an open mobility network based in Bengaluru. Built on the ONDC framework and leveraging UPI for payments, it allows autorickshaw drivers to connect directly with commuters, eliminating middlemen and ensuring they receive 100% of the fare. The brilliance of Namma Yatri lies in its simplicity—it uses existing digital public infrastructure, but reconfigures it in a way that challenges the duopoly of traditional ride-sharing platforms. This kind of combinatorial innovation is the essence of Digital Bharat.

Finance is another sector where we are seeing second-order benefits of DPI. Microfinance institutions like Fusion Microfinance now disburse loans to millions of women digitally, reducing the turnaround time from weeks to a few days. UPI-based IPO applications have democratised access to capital markets, bringing in retail investors at an unprecedented scale. The ‘Fintonet’ model, co-developed by Nandan, takes this further by enabling tokenisation of financial assets, making investments more accessible and liquid. As capital markets integrate with these digital rails, we will witness a fundamental reshaping of how Indians save, invest, and build wealth.

Open networks are also being reimagined in commerce, where ONDC is already proving to be a formidable force against entrenched e-com-